Sun Pharma & Organon Merger

A Case Study

Made By

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Overiew of the Indian Pharma Industry

India anchors the global pharmaceutical supply chain through unmatched manufacturing scale

Global Production Ranking

3rd

Largest pharmaceutical producer globally by volume.

20%↑

Generic Market Dominance

Supplies **20%** of the world's generic medicines, acting as the primary anchor for affordable global healthcare.

55-60%

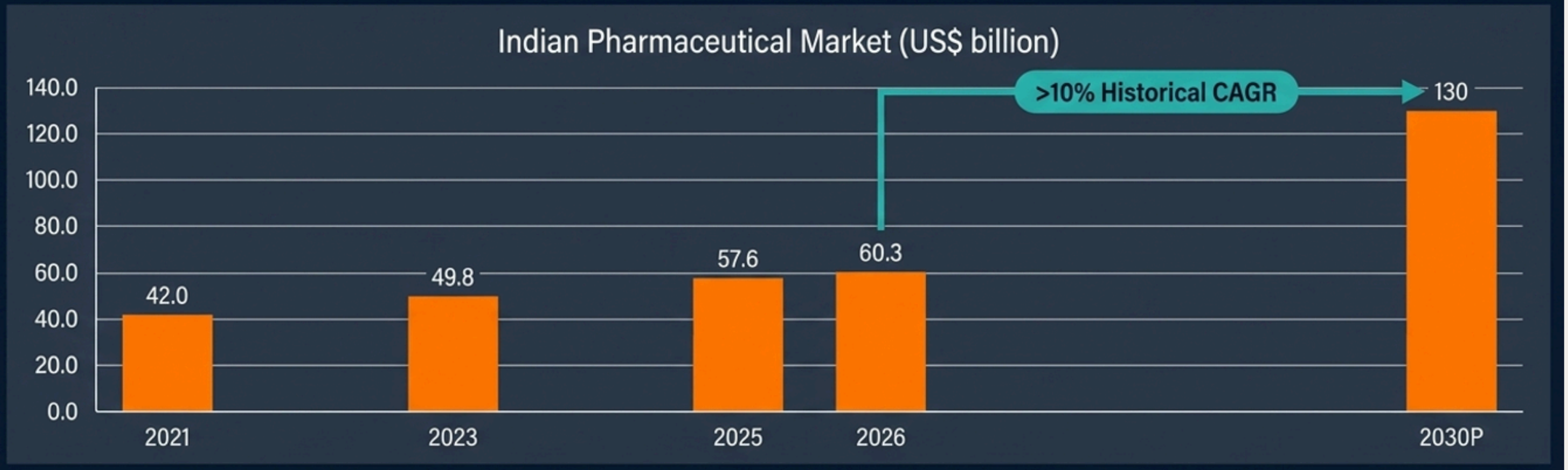
Vaccine Output Leadership

Supplies a staggering **55-60%** of UNICEF's total vaccine supply.

Targeted Global Immunization

- 99% of WHO's DPT vaccine demand — 99%
- 52% of global BCG vaccines — 52%
- 45% of measles vaccines — 45%

The domestic market provides a compounding $130 billion baseline by 2030



Current Valuation

US$ 60 Billion

FY26 domestic market valued at Rs. 5.30 lakh crore.

FY26 Sales Momentum

+8.8% YoY

Domestic sales recorded at Rs. 2,46,000 crore (US$ 27.97 billion) in FY26.

Long-Term Projection

US$ 120-130 Billion

Projected to more than double to Rs. 10.28-11.14 lakh crore by 2030 (Bain & Co estimates).

Exports are structurally shifting toward highly regulated, premium global markets

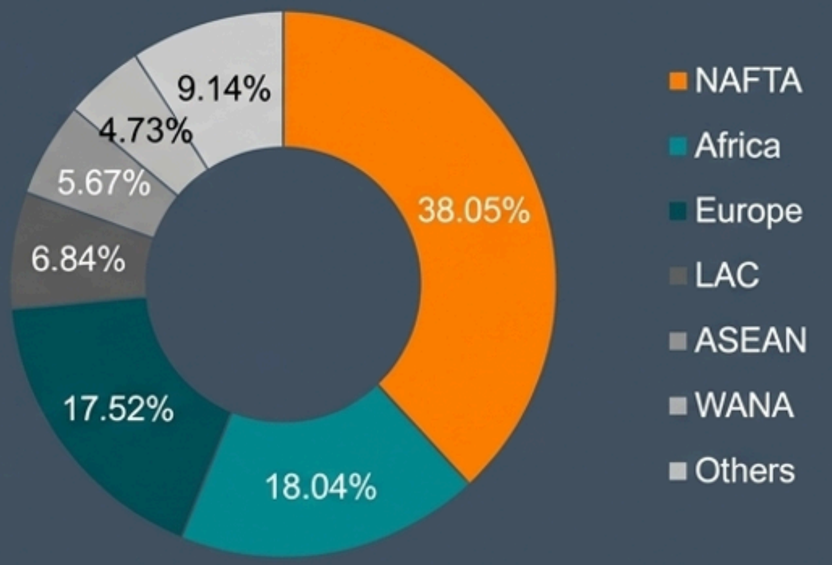
10-Year Export Growth Trajectory

FY26 Current Scale:
US$ 31.11 Billion
(Rs. 2.74 lakh crore)

→

Vision 2047 Target:
US$ 350 Billion

FY26 Export Destinations by Market



NAFTA: 38.05% of total exports. Heavy reliance on highly regulated, high-margin environments.

Europe: 18.04% of total exports. Represents the second-largest strategic global market.

The API segment has successfully inverted its trade deficit to **achieve net-export status**

35% **Market Contribution:** Active Pharmaceutical Ingredients (APIs) represent a crucial 35% of the total pharmaceutical market share.

17% Import Decline

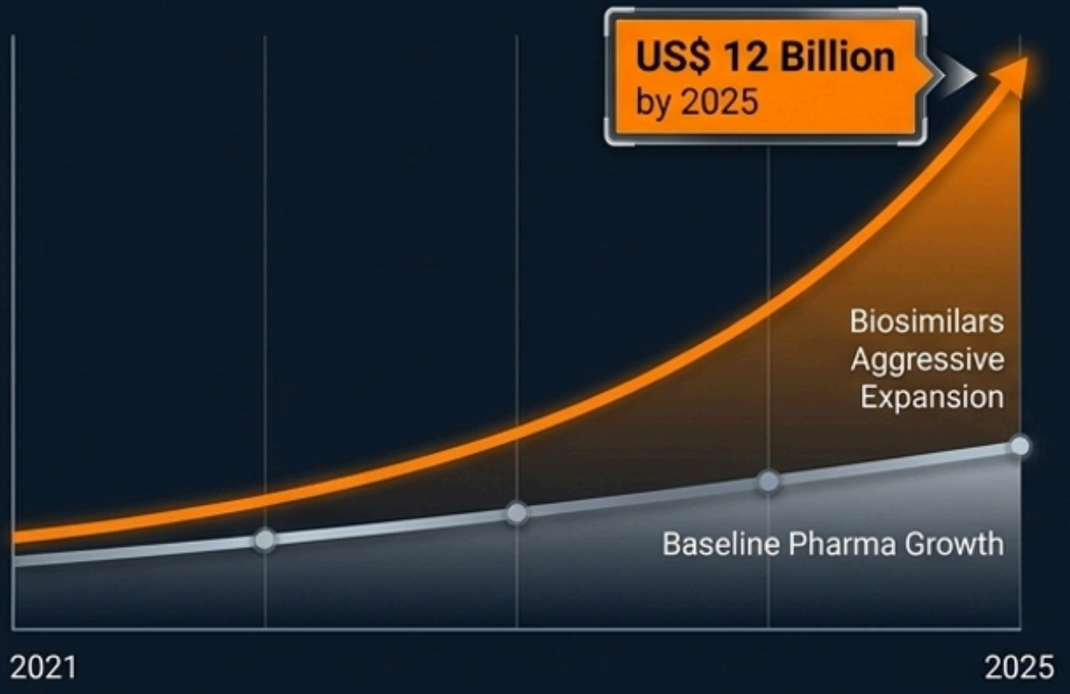
Achieved a significant decline in API imports between April and December 2025.

Supply Chain Derisking

Signals a fundamental reduction in external dependency, improving margin stability and supply chain security.

Biosimilars generate outsized alpha through a 22% CAGR and rising bilateral trade

Growth Matrix



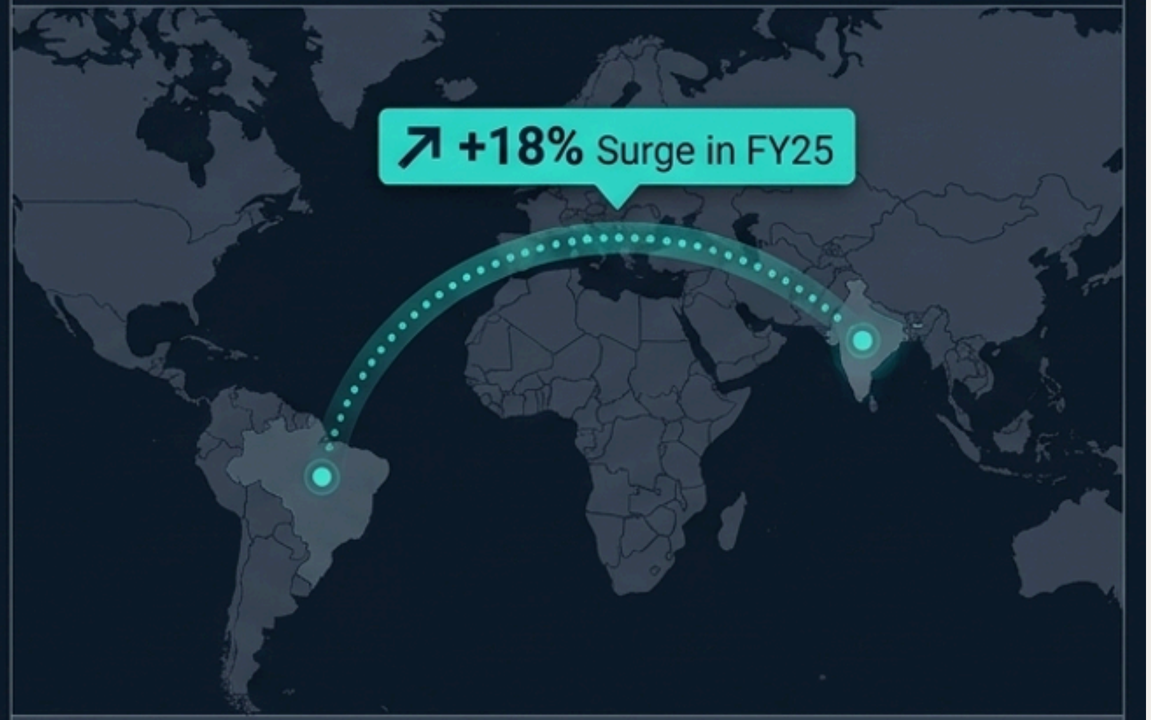
22% CAGR

Aggressive Expansion

20% Market Weight

Will represent nearly 20% of the entire Indian pharmaceutical market by 2025.

Geographic Trade Spotlight



Bilateral Trade Milestones

Expanded cooperation with Brazil drove biosimilar exports up over 18% to Rs. 6,727 crore (US$ 778 million) in FY25.

Sustained foreign direct investment validates the sector's long-term global competitiveness

Macro-Economic Footprint	
FDI Share	Drives approximately **4%** of total FDI inflows into India.
Trade Generation	Sustains a highly lucrative **Rs. 1,62,811 crore (US$ 19 billion)** trade surplus.
GVA Contribution	Currently stands as the fifth-largest contributor to India's manufacturing Gross Value Added.

The Business of Sun Pharma Industries

Executive Summary: India’s Premier Global Pharmaceutical Engine

Vertically integrated operations spanning **APIs**, **branded generics**, and an expanding **high-margin specialty/innovative medicines** portfolio.

MARKET CAPITALIZATION

$45.1B

(As of FY26)

GLOBAL MANUFACTURING FACILITIES

40

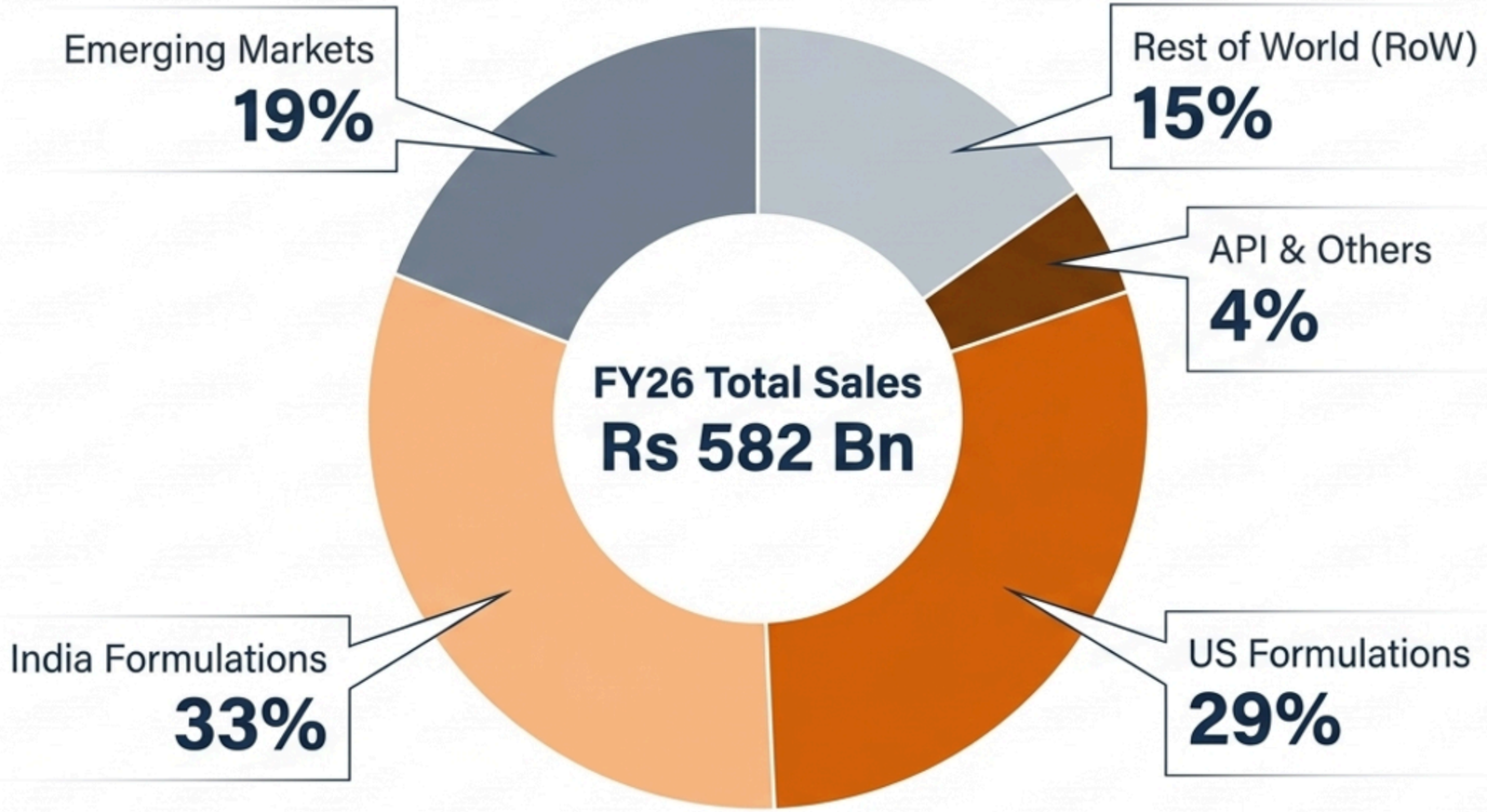
(Spanning 6 Continents)

MARKET POSITION

#1

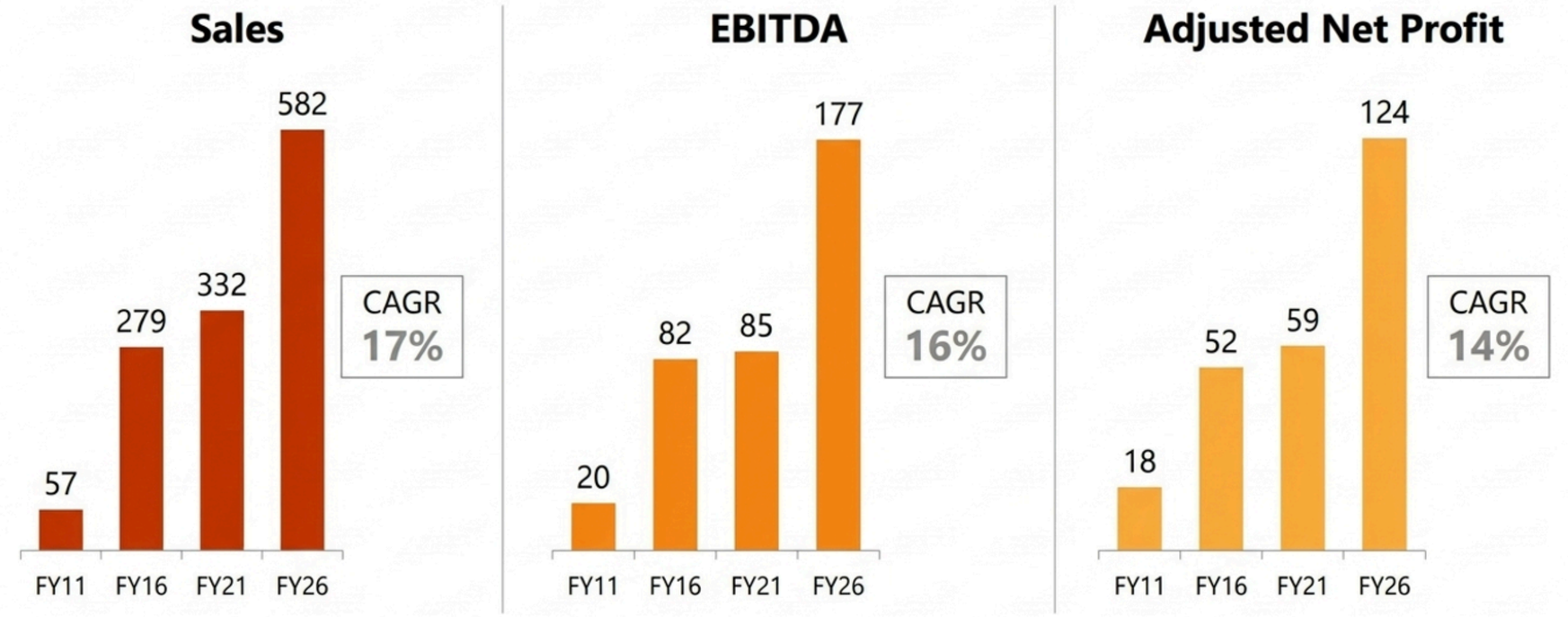
Largest pharmaceutical company in India

A Highly Diversified Global Revenue Matrix (FY26)



15 Years of Compounding Financial Execution

(All Figures in Rs Bn)



US Formulations: Climbing the Ranks in the World's Largest Market

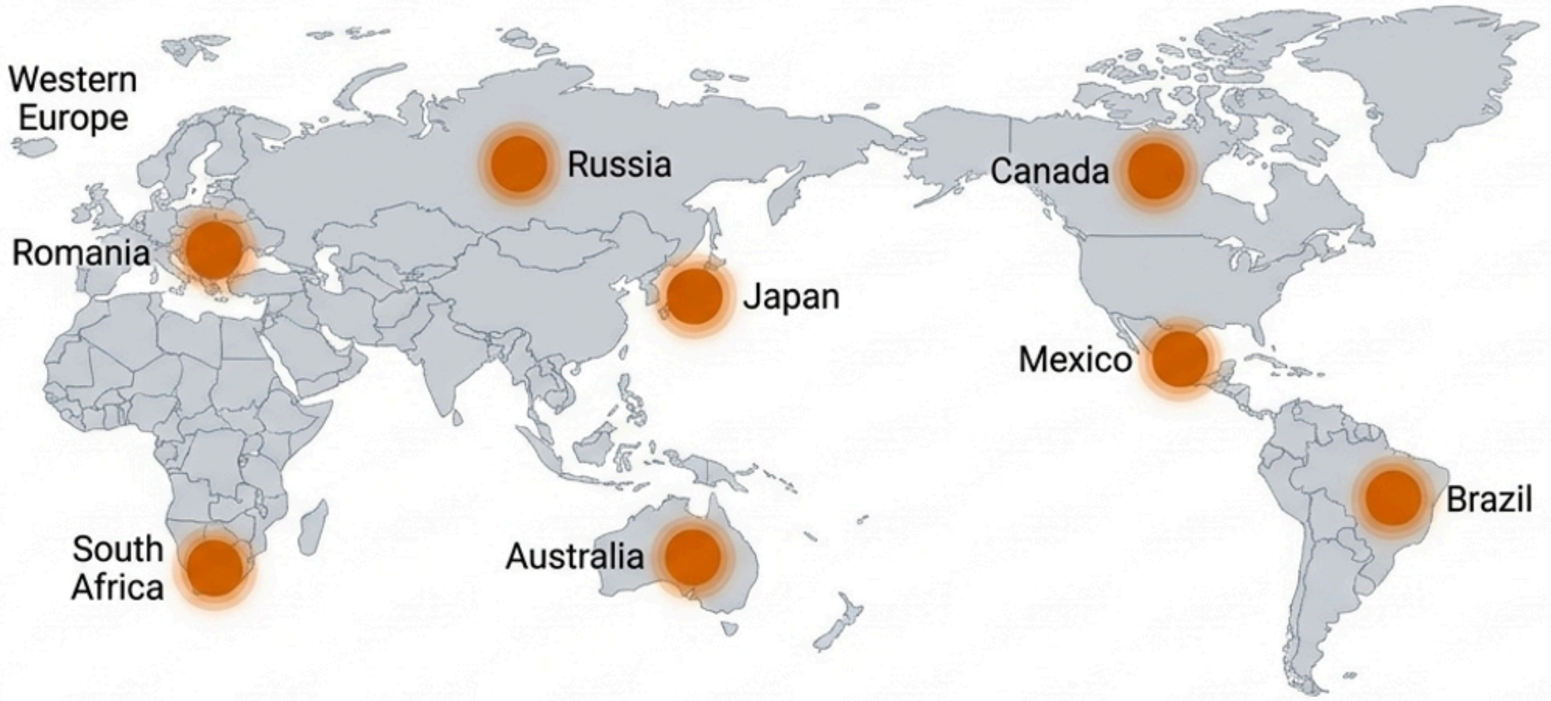
13 Largest Generics Pharmaceutical Company in the US Market

2 Ranked by Prescriptions in the highly lucrative US Dermatology Market

Q1 FY27 Surge

US contribution jumped significantly to 36% of total global revenue (up from 34% in Q1 FY26).

Broadening the Global Footprint: EM & RoW



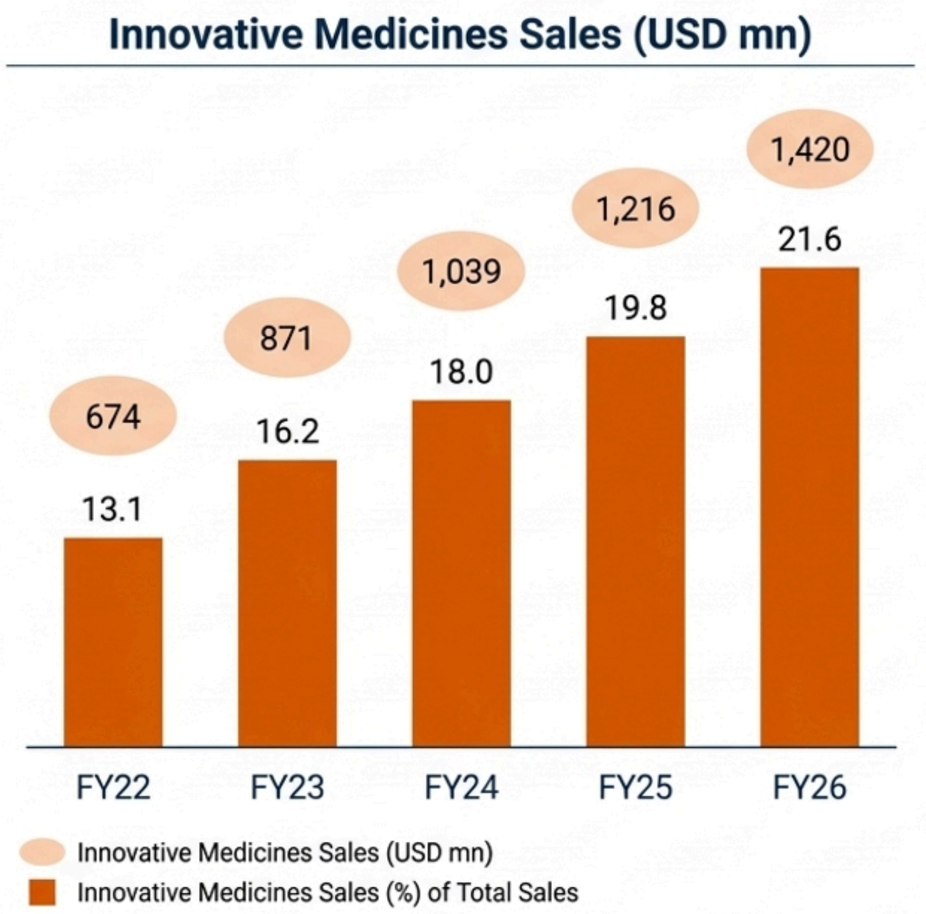
Emerging Markets (EM)

- Expansive presence spanning 80+ countries.
- Deep local penetration driven by a dedicated sales force of 2,900+ representatives.

Rest of World (RoW)

- Strategic presence in highly regulated markets including Japan, Western Europe, and Canada.
- Optimized structure: distribution-led model for generics & specialized sales force for hospital products.

Innovative Medicines: The High-Growth Value Driver



- Explosive segment growth with a 24% CAGR since FY21
- Total segment revenue reached $1,420 mn in FY26, representing a critical 21.6% of total sales
- **Blockbuster performance from flagship product Ilumya, reporting alone $796 Mn in sales in FY26**
- Robust portfolio: 29 Innovative Medicines currently marketed globally, with 5 New Active Substances in development stage

Comprehensive Product Breadth & Consumer Brand Equity

Capabilities Checklist

Unmatched formulation capabilities across diverse dosage forms

Orals | Creams | Ointments | Injectables | Sprays | Liquids

Dominant consumer OTC presence and expanding wellness footprint providing high-margin cash flows.

The Business of Organon & Co.

Organon & Co.: A Legacy in Care, A Future in Global Health

Corporate Evolution

Spun off from Merck to become a focused, independent American pharmaceutical entity.

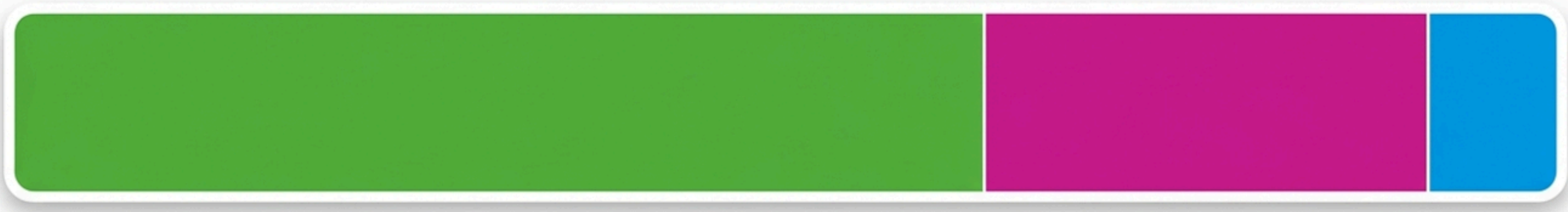
Therapeutic Focus

Specializes in reproductive medicine, contraception, psychiatry, hormone replacement therapy (HRT), and anesthesia.

The Manufacturing Paradox

100% of product manufacturing occurs outside the United States, despite the US generating approximately one-third of total company revenue.

Portfolio Architecture: The Three Pillars of Revenue



64%

Established Brands

The dominant foundational core, relying heavily on ex-US sales and navigating generic market competition.

27%

Women's Health

A primary strategic focus featuring highly specialized contraceptives and fertility treatments.

8%

Biosimilars

The emerging growth engine, providing critical oncology and immunology treatments at potentially lower costs than alternative FDA-approved therapies.

Geographic Revenue Map: A Diversified Global Base

Driving the Future: Women's Health & Biosimilar Innovations

Women's Health

Focused on reproductive and fertility solutions.

- Nexplanon®
- NuvaRing® (etonogestrel/ethinyl estradiol vaginal ring) delivers 0.120 mg/0.015 mg per day
- elonva® corifollitropin alfa
- Follistim® AQ Cartridge (follitropin beta injection) For use only with Follistim Pen

Number of products **13**

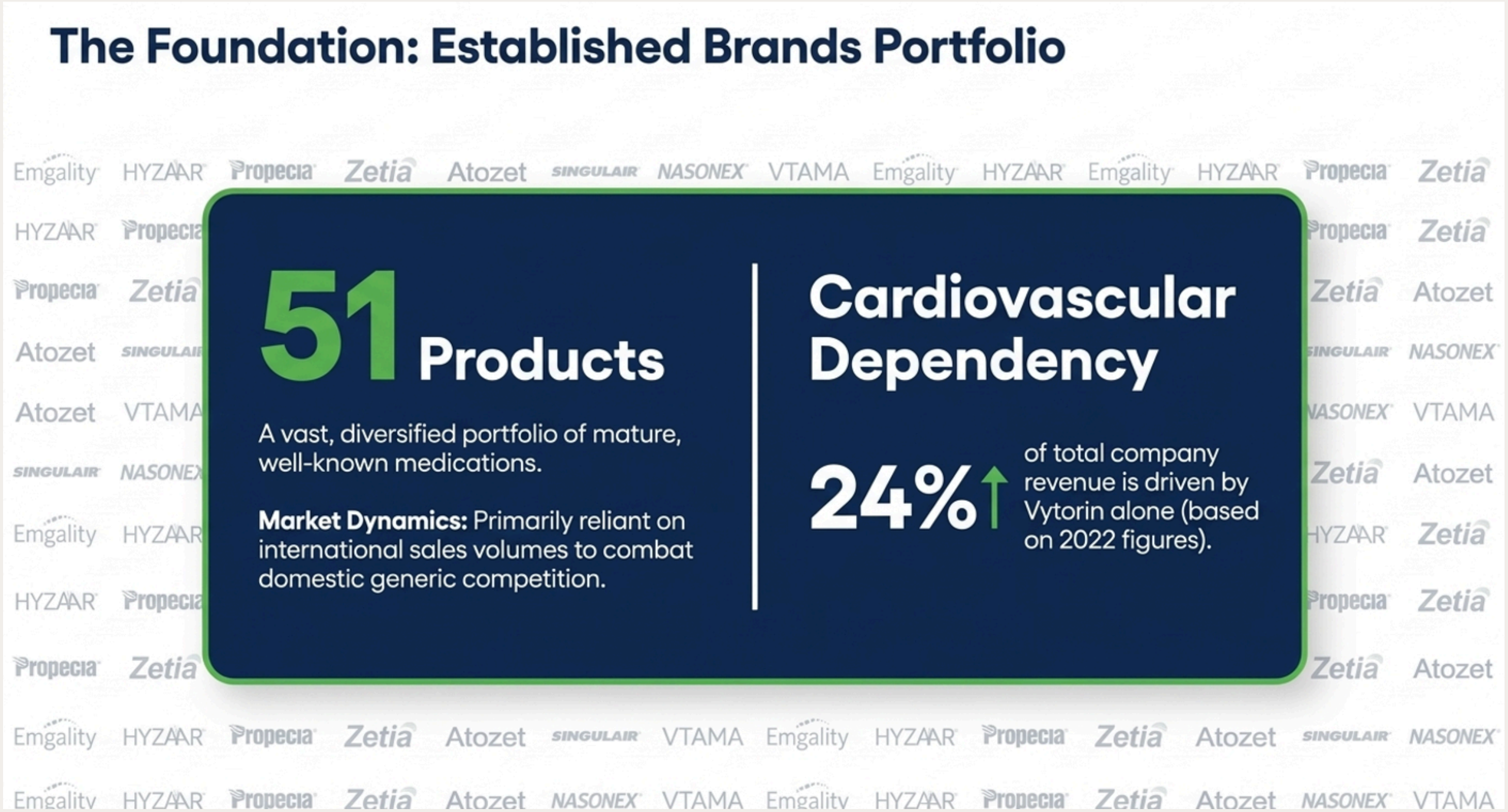
General Medicines: Biosimilars

Providing accessible oncology and immunology alternatives.

- HADLIMA® (adalimumab-bwwd) injection, 40 mg/0.4 mL, 40 mg/0.8 mL
- BRENZYS® etanercept
- RENFLEXIS® infliximab-abda
- Tofidence® tocilizumab-bavi
- Ontruzant® trastuzumab-dttb
- BILPREVDA® denosumab-nxxp
- BILDYOS® denosumab-nxxp
- Aybintio® bevacizumab

Number of products **7**

The Foundation: Established Brands Portfolio



FY25 Financial Synthesis: Top to Bottom Line

Strategic Takeaway

Organon maintains a multi-billion dollar revenue baseline supported by 70+ global products, balancing the high volume of established brands with targeted growth investments. The FY25 figures reflect the bottom-line reality after operational, global manufacturing, and product transition costs.

The Merger

Mega-Merger Dynamics: $11.75B Acquisition of Organon & Co.

$14.00

Per Share Offer Price

All-cash transaction representing a total equity value of ~$3.99B.

$11.75B

Enterprise Valuation

Includes the assumption of Organon's existing debt obligations.

$12.4B

Pro-Forma Combined Revenue

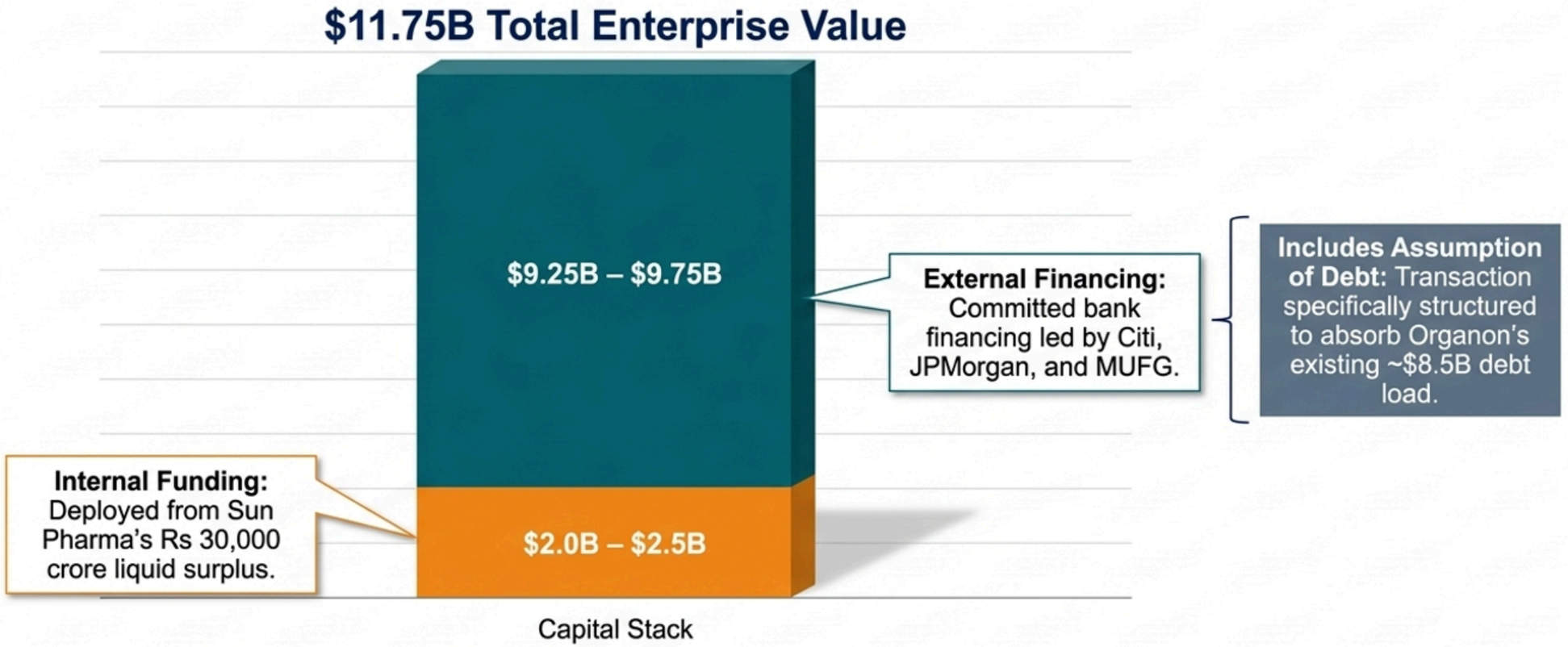
Forges a Top-25 global pharmaceutical entity instantly.

Early 2027

Target Close Date

Subject to regulatory clearances and Organon stockholder approval.

Deal Mechanics: Funding the $11.75B Enterprise Value



Equity Preservation Model: A highly debt-reliant capital stack engineered to protect Sun Pharma's equity while aggressively leveraging the projected combined cash flows.

Target Diagnostics: Organon's High-Margin, Established Asset Base

The Asset

Diverse, Cash-Generative Portfolio

$6.2B
Topline Revenue 2025

~$2.0B
Adjusted Operating Profit

~31%
Operating Margin

Women's Health — 33%

Biosimilars — 11%

Established Brands — 55%

Renagon
Zenagtan

Heavy reliance on Established Brands (55%) offset by rapidly growing Innovative Medicines (33%) and Biosimilars (11%).

The Constraint

Capital Structure Reality

$8.6B
Total Debt Load

4.0x
Net Debt / EBITDA

Organon brings incredible cash flow characteristics but operates beneath a highly constrained balance sheet stemming from its Merck spinoff. Sun Pharma Pharma is acquiring a high-yield asset and deploying its own pristine balance sheet to digest this structural burden.

Strategic Imperative: **Immediate Category Leadership**

Women's Health Dominance

Top 3

Global Market Position

- Secures unassailable leadership driven by key assets like Nexplanon and NuvaRing.

Biosimilars Scale

7th

Largest Global Player

- Dramatically elevates biosimilar capacity, leveraging high-value therapies Hadlima and Brenzys.

Unmatched Global Penetration

150+
Countries

18
Markets >$100M

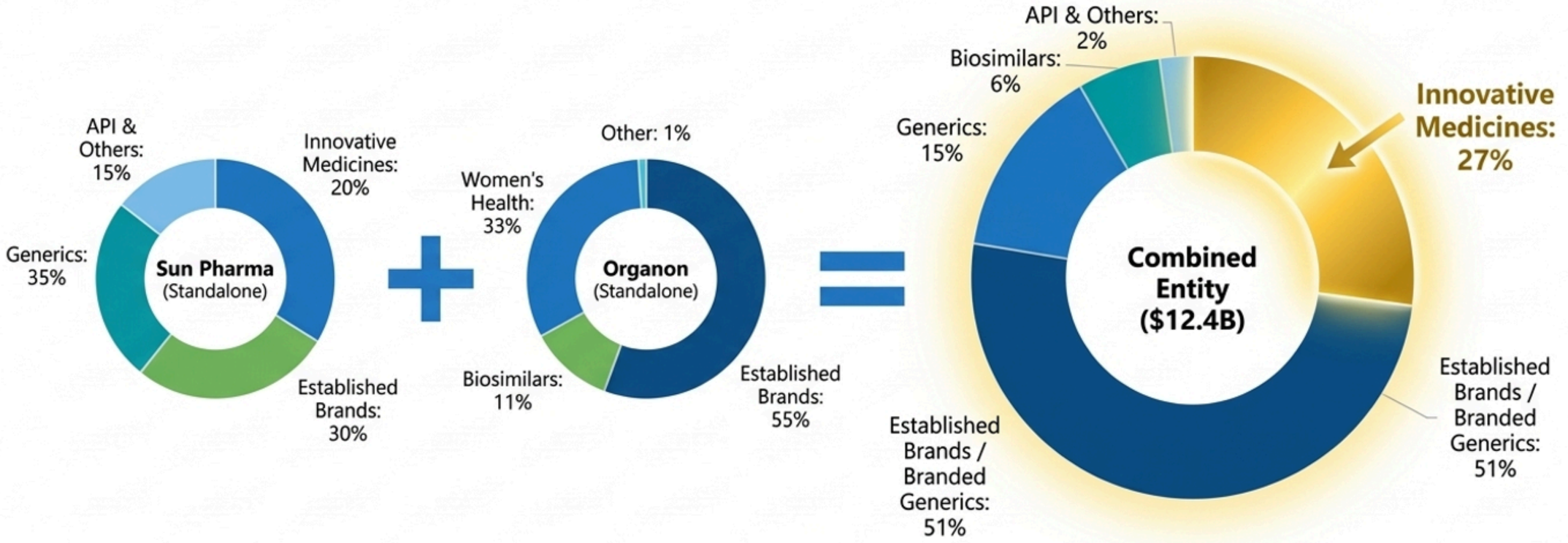
- Deepens footprint across critical international corridors, immediately establishing commercial scale.

Accelerated Portfolio Pivot

Structural
Shift

- Supercharges Sun Pharma's stated strategic objective to transition toward high-margin Innovative Medicines.

Portfolio Transformation: The Shift Toward Innovative Medicines



The Strategic Pivot

Pre-deal innovative segment hovered at 20%. Post-merger, it scales dramatically to 27% of a much larger pie.

The Core Cash Engine

Established brands and branded generics will form an unshakeable foundation at 51%, generating reliable yield.

Multiple Expansion

Enhanced weighting toward patent-protected, complex formulations structuralizes a public market re-rating.

Post-Merger Strategic Positioning: A New Global Pharmaceutical Powerhouse

Current State (Standalone)	Pro-Forma Milestones (Combined Entity)
Regional Scale	✓ **Combined revenue leaps to $12.4 billion**, immediately catapulting Sun Pharma into the **Top 25** global pharmaceutical companies.
Generics Heavy	✓ **Innovative medicines** heavily focus the mix, comprising **27% of total revenue share**.
Niche Therapeutic Focus	✓ Instantly achieves **Top 3 global ranking in Women's Health** and becomes the **7th largest global biosimilar player.**
Developing Footprint	✓ **Expanded footprint** across **150 countries**, featuring **18 massive markets** each generating over **$100 mn** in revenues.

Conclusion

The convergence of scale, policy, and R&D guarantees structural value creation

Value-Chain Progression

[Cost-Advantaged Volume]

India's position as a $60B domestic market and dominant global generic supplier provides definitive downside protection.

[Self-Reliant Supply Chain]

API net-export inversion and a $7B policy push permanently insulate the sector from historic import vulnerabilities.

[High-Margin Innovation]

CRDMO (doubling to $14B) and Biosimilars (22% CAGR) represent the primary vehicles for long-term margin expansion.

Final Thesis

The synchronized convergence of R&D investment ($2B by FY28), government PLI schemes, and robust FDI sets the stage for unmatched structural value creation.

Strategic Inflection: The Acquisition of Organon

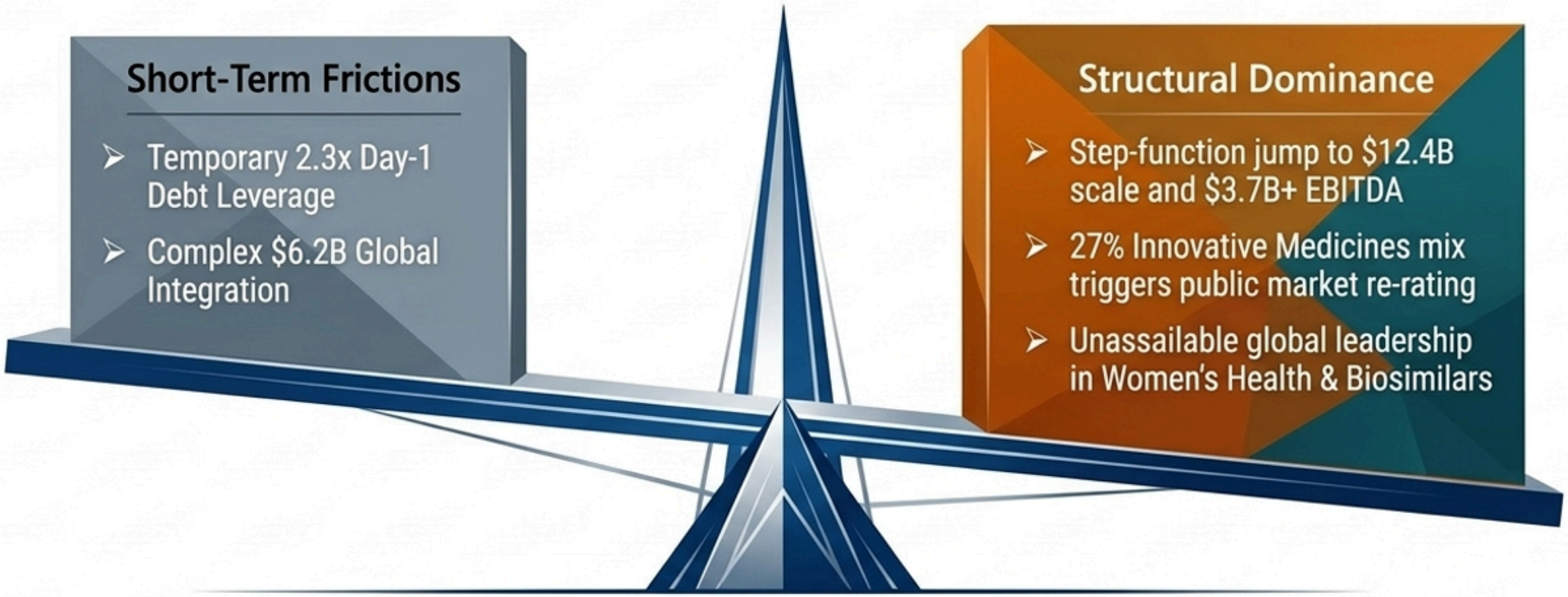
DEFINITIVE AGREEMENT TO ACQUIRE ORGANON

$14 per share
All-cash transaction

$11.75 Billion
Total Enterprise Value (EV)

Strategic Catalyst
Aggressive acceleration toward branded & innovative medicines globally

The Equity Story: Balancing Near-Term Leverage with Long-Term Scale



SUN PHARMA'S EXCELLENT M&A TRACK RECORD

Creating a global company over time

1983

Began with 5 products

1994

IPO – Rs 550 Mn raised

2010

Acquired Taro

2012

Acquired Dusa

2013

Acquired URL Pharma

2014

Agreement with Merck for in-licensing Tildrakizumab

2015

Acquired InSite Vision ophthalmic portfolio

Acquired Ranbaxy

2016

Acquired Biosintez in Russia

2018

Acquired Global rights for Cequa & Odomzo

2019

Acquired Pola Pharma in Japan

2019

Innovative Medicines launches

ILUMYA tildrakizumab-asmn

Cequa

Odomzo (sonidegib)

ABSORICA LD isotretinoin capsules

Yonsa (abiraterone acetate)

Xelpros

Kapspargo Sprinkle

Ezallor Sprinkle

Drizalma Sprinkle

2020

2021

In-lincesed Winlevi®

2023

Acquired Concert Pharma

Acquired rights to Nidlegy™

2024

Acquired rights to Fibromun

2025

Acquired Checkpoint Therapeutics

2026

Announced acquisition of Organon

Thank You!